Subscription Billing and Churn Handling SOP - MCN+

Purpose

This document defines MCN+ streaming's subscription tiers, billing/dunning process, and the retention process applied when a subscriber attempts to cancel.

Subscription Tiers

- Basic: ad-supported, single-device streaming, standard definition.
- Standard: ad-light (limited pre-roll only), two concurrent devices, full HD.
- Premium: ad-free, four concurrent devices, full HD + select 4K titles, offline downloads.

Billing is monthly or annual (annual pays 2 months' equivalent for a 12-month term, a discount versus paying monthly).

Billing and Dunning Process

1. Subscription Ops charges the subscriber's payment method on the billing anniversary date.
2. If a charge fails, the subscriber enters a grace period: access continues for 3 days while up to 2 automatic retries occur (24 hours apart).
3. If both retries fail, the account is downgraded to a restricted state (playback paused, account/profile data retained) and the subscriber is notified by email and in-app banner.
4. An account in restricted state for more than 30 days without a successful payment is auto-cancelled, and its subscriber count is removed from active-subscriber reporting as of the restriction date (not the 30-day mark).

Cancellation and Retention Flow

1. A subscriber-initiated cancellation request first routes through an in-app retention flow: a discounted-tier offer (Subscription Ops sets the current offer terms) is presented before the cancellation is confirmed.
2. If the subscriber proceeds past the retention offer, the cancellation is confirmed immediately, but access continues until the end of the current paid billing period (no partial refunds for the unused portion, standard for subscription services).
3. Cancellations flagged as involuntary (failed payment, per the dunning process above) are logged separately from voluntary cancellations in churn reporting, since they require different retention tactics (a billing fix, not a retention offer).
4. Subscription Ops collects the voluntary-cancellation reason via a short exit survey, logged against a standard taxonomy so churn reporting stays comparable month over month: price (cost too high relative to perceived value), content (catalog doesn't have enough of what the subscriber watches), competitor (switched to another streaming service), or no longer needed (life circumstance, e.g. moved in with someone who already subscribes). Subscription Ops reviews this breakdown monthly to identify recurring churn drivers for the Programming Committee.